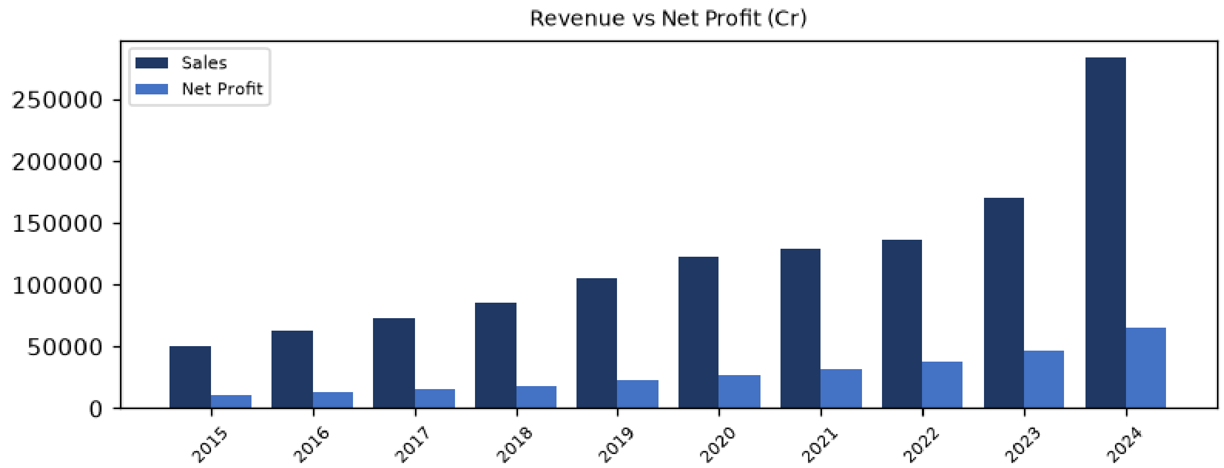
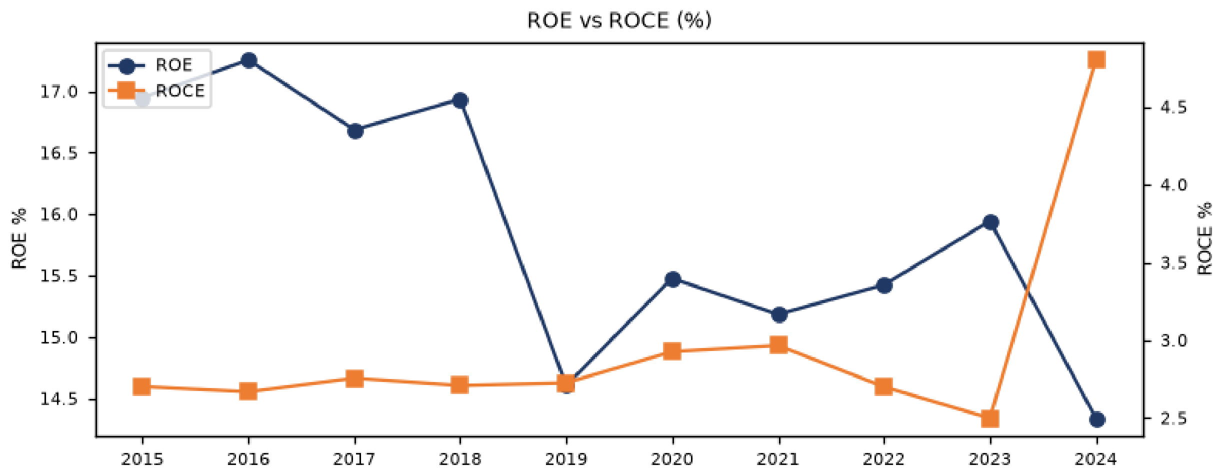
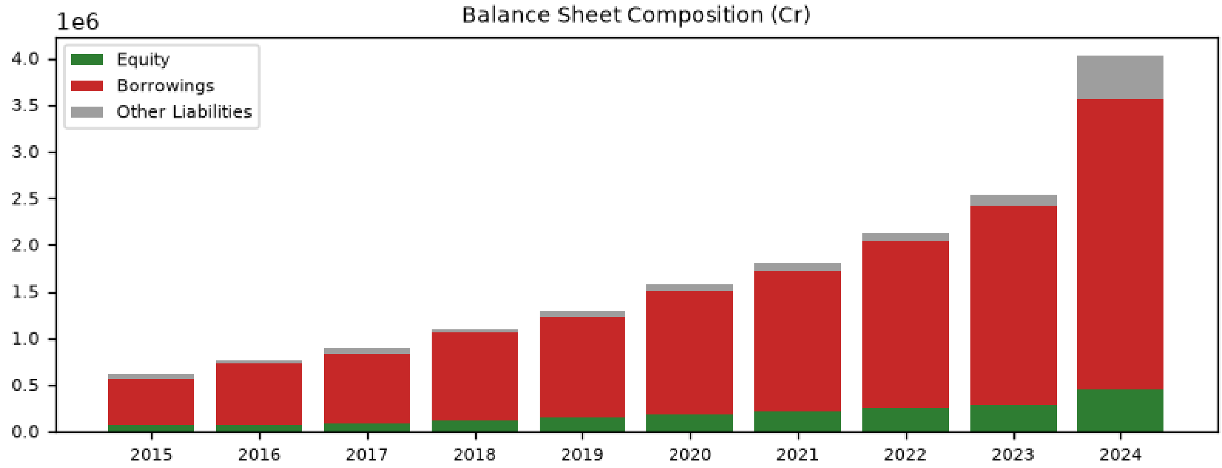
HDFC Bank Ltd (HDFCBANK) Financials

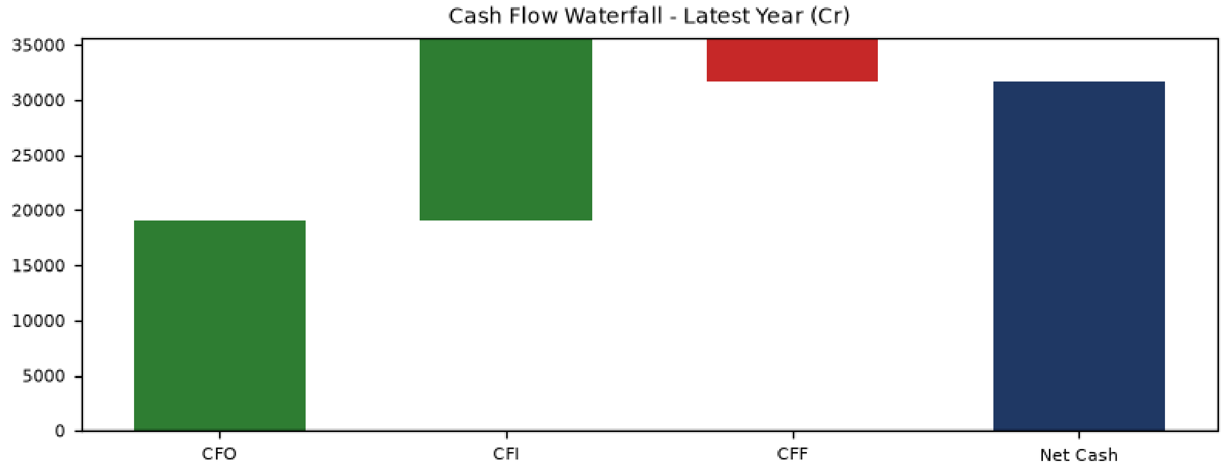
ROE **14.3%**	ROCE **4.8%**	Net Margin **23.1%**
D/E **6.81**	Rev CAGR 5yr **22.0%**	FCF (Cr) **35669**





Balance Sheet & Cash Flow





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Consistent dividend yield above 2% backed by positive free cash flow
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation: Liquidating Assets